

Zhejiang Jingsheng Mechanical & Electrical

300316.SZ 300316 CH

EQUITY: TECHNOLOGY

Global Markets Research

24 August 2026

1H26 earnings fall on soft solar and materials

Quick Note

1H26: earnings fall 64% y-y on solar and materials; gross margin improved

Jingsheng published its 1H26 earnings report on 21 August, and hosted an investor and analyst meeting on 24 August. 1H26 revenue fell 40.5% y-y to CNY3,452mn, which the company attributed to lower solar equipment and materials revenue; equipment and services revenue fell 46.9% y-y to CNY2,166mn and materials revenue fell 11.4% y-y to CNY1,087mn. Gross margin rose 6.0pp y-y to 30.4%, as equipment gross margin improved 4.9pp y-y to 37.9% and materials gross margin improved 12.5pp y-y to 18.7%. Operating expenses rose 9.6% y-y to CNY826mn, lifting the opex ratio to 23.9% from 13.0% in 1H25, with admin expenses rising 25.8% y-y on higher depreciation and amortization costs, and R&D expenses held flat at CNY464mn on a much smaller revenue base. Net profit fell 63.7% y-y to CNY232mn and EPS fell to CNY0.18 from CNY0.49 in 1H25. Recurring net profit fell 80.9% y-y to CNY102mn, as other income dropped to CNY87mn from CNY212mn, inventory write-off reached CNY100mn, and the effective tax rate rose to 27.6% from 15.0% in 1H25.

Semiconductor equipment: backlog implies CNY2.7bn of revenue in 2H26E

The 1H26 earnings report disclosed unfinished integrated circuit (IC) and compound semiconductor equipment contracts of more than CNY4.7bn as of 30 June 2026, and the company expects full-year 2026E IC and compound semiconductor equipment and materials revenue to exceed CNY4.0bn. Against CNY1,307mn booked in 1H26, that guidance implies close to CNY2.7bn in 2H26E revenue. Contract liabilities rose to CNY3,679mn as of end-June from CNY2,094mn as of end-2025, which management attributed to equipment prepayments across both semiconductor and solar businesses. In addition, management commented that domestic demand now accounts for close to 90% of China's large-silicon-wafer equipment market, that Jingsheng has shipped more than 1,300 units, and that supply is currently not keeping pace with customer expansion. Furthermore, management expects 2026E is not yet a peak year for large-wafer expansion, and expects higher capex in 2027-28E.

SiC substrates: wafer ramping-up targets single-quarter profit in 4Q26E

For the materials business, management commented that silicon carbide (SiC) substrate revenue was below CNY100mn in 1Q26 and a little over CNY200mn for 1H26 combined, and has risen by roughly CNY100mn per quarter. Management guided that the 900k-wafer-per-year 6-inch and 8-inch substrate project will be fully in place by end-2026E and that it expects the substrate business to turn a profit at the single-quarter level in 4Q26E on quarterly revenue of CNY300mn. In addition, management estimates gross margin for 8-inch substrates is at 22-30%, noting that 8-inch is already profitable, while 6-inch carries a positive gross margin but achieving a cost-reduction target remains a goal for 2027E. According to the company, 8-inch substrates have reached large-scale supply and 12-inch small-batch supply, with volume shipments being made to more than half of the leading global and domestic power chipmakers. Furthermore, management commented that the Penang plant will take delivery of equipment in 4Q26E and start the production line in 1Q27E.

Rating Remains	Buy
Target price Remains	CNY 60.00
Closing price 24 August 2026	CNY 42.99

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Issuer	Ticker	Price	Price date	Stock rating	Sector rating	Disclosures
Zhejiang Jingsheng Mechanical & Electrical	300316 CH	CNY 42.99	24-Aug-2026	Buy	N/A	

Zhejiang Jingsheng Mechanical & Electrical (300316 CH) **CNY 42.99 (24-Aug-2026)** Buy (Sector rating: N/A)

Rating and target price chart (three year history)



For explanation of ratings refer to the stock rating keys located after chart(s)

Valuation Methodology We use P/E method to value JSG and our TP of CNY60 is based on 61x 2026F P/E, at +2x of historical average P/E at 29x. The benchmark index is CSI300.

Risks that may impede the achievement of the target price Downside risks include: 1) weakening order backlog for solar equipment, 2) fiercer-than-expected competition in semis equipment, and 3) slower adoption of 8: SiC.

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